Williams (WMB)

3Q26 | 4 November 2026 | Earnings Brief | Post-call version

1 Executive snapshot

Consensus thesis: Investors own Williams as a fee-based gas pipeline compounder with contracted growth of 11%-plus a year through 2030, and Power Innovation (behind-the-meter generation for hyperscalers) as the AI option on top.

Thesis status: Intact

Versus expectations: Quarter in line: adjusted EPS $0.54 against $0.54 at MarketBeat ($0.56 at Zacks); no published adjusted EBITDA consensus. Outlook in line: FY26 guide held at $8.3bn to $8.5bn, tracking the upper half.

Biggest changes

- The call put a number on the next step: 'one or two' more power projects by year-end, with larger scale, longer terms and 'high quality counterparties'. Signed capacity is still 2,588 MW.
- Year-end leverage is now about 3.75x before new power projects, leaving about $2bn of room to the 4x ceiling (per CFO). Our preview carried about 3.9x from the 2Q call (transcript not held this run); the basis may differ [INFERENCE].
- About $5.9bn of equipment commitments for potential projects surfaced in the 10-Q. The CFO said some carry cancellation terms and declined to tie them to the 6 GW-plus opportunity set.
- Partner pricing has 'moved a bit' from the 6.35% of the July Blackstone deal with 10-year Treasuries, per the CFO, who gave no direction; we read it as higher [INFERENCE].
- NESE: the Third Circuit remanded the New Jersey certificate. The CEO said this could threaten in-service by next winter, with no material effect on the financial outlook.

Investor takeaway: The consensus view does not need to change: the pipeline engine and credit hold, and the AI option gets a dated test (one or two projects by year-end), but its returns are still undisclosed and partner capital may cost more than in July.

Monitor next quarter: One or two power awards by 31 December: GW, tenor, counterparty, funding structure.; Year-end leverage against about 3.75x, and how new projects use the $2bn of room.; NESE: New Jersey remand, the 9 November Senate cloture vote, in-service date.

Pillar scorecard

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Contracted growth at 11%-plus	Double-digit EBITDA growth through 2030; FY26 held or raised	EBITDA +6% YoY, YTD +9%; upper half of range; 11%-plus reaffirmed. No 2027 range given.	Confirmed	Release; call
P2 Power scales beyond 2.6 GW	More projects by year-end from a 6 GW-plus backlog	No award yet. CEO: one or two by year-end, more in 2027; timing depends on signed agreements and permits.	Unresolved	Call
P3 Leverage within 3.5x to 4.0x	About 3.9x at year-end	3.80x at 30 September; about 3.75x guided at year-end before new projects; $2bn room to 4x. 4.11x on gross debt (our math).	Confirmed	Release; call
P4 Power earns pipeline-like returns	About 20% pre-tax, helped by JV promote	Management says the return framework should hold on larger projects and costs fall for customers, but gives no EBITDA or return figure. Partner pricing has moved since July.	Unresolved	Call
P5 Transco on schedule	SESE partial early 2027; NESE on time	Four projects added over 400 MMcf/d. NESE remand puts next-winter timing at risk. SESE not found in sections read.	Challenged	Call; release

Key KPIs

Metric	This qtr	Prior qtr	Same qtr LY	QoQ / YoY flag
Revenue ($mn)	3,223	3,053	2,923	[↑] +5.6% / +10.3%
Adjusted EBITDA ($mn)	2,039	1,921	1,920	[↑] +6.1% / +6.2%
Adjusted EPS	$0.54	$0.50	$0.49	[↑] +8.0% / +10.2%
Operating income ($mn)	1,136	1,182	1,109	[~] -3.9% / +2.4%
Operating margin	35.2%	38.7%	37.9%	[↓] -3.5pp / -2.7pp
Trans., Power & Gulf adj. EBITDA ($mn)	1,030	959	947	[↑] +7.4% / +8.8%
Operating cash flow ($mn)	1,505	1,376	1,439	[↑] +9.4% / +4.6%
Dividend coverage (AFFO)	2.42x	2.26x	2.37x	[↑] +0.16x / +0.05x
Capital investments ex-acq. ($mn)	2,727	1,642	1,053	[↓] +66% / +159%

Guidance

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
FY26 adj. EBITDA	$8.3bn to $8.5bn; upper half	Maintained, tone better	No consensus found	Transmission, storage and gathering strength	Implies $2,186mn to $2,286mn in 4Q
FY26 growth capex	$7.3bn to $7.9bn	Maintained	n.a.	Excludes reimbursable equipment	Excludes any new power project
Year-end leverage	About 3.75x before new power projects	About 3.9x in our preview (2Q call); run-rate Momentum basis	n.a.	About $2bn room to 4x; tight mainly in 2026-27	Cause of the difference is our inference: definition

Top risks and analyst focus

- Funding: $2bn room to 4x against larger projects, with partner pricing moved from July's 6.35%.
- Equipment: about $5.9bn committed for potential projects, cancellation cost undisclosed.
- NESE: remand threatens next-winter in-service, though no material outlook effect per CEO.

Analysts pressed on timing of the next power award (four firms) and funding (Citi, CIBC). Nobody got a return figure. Watch-list: Dounis (Citi), Catellier (CIBC). — Trevor

Monitoring: Power award by 31 December; year-end leverage against about 3.75x; Socrates Phase 2; NESE; 2027 framework. Tripwires: no award by year-end, leverage above 4x.

Questions for owners

- Will at least one project be announced before year-end?
- What do the agencies calculate, and how do they treat 49% of JV EBITDA? (credit)

Read-across for Kona

Two points for Kona. First, Williams pays for equipment ahead of signed projects at scale, about $5.9bn, and hyperscalers reward speed; Kona should fix turbine or genset slots only with cancellation terms it can state to lenders. Second, the price of partner capital moved within four months of 6.35%, so Kona should not model a fixed JV return; ask infrastructure investors for a range and a rate reset. No change to pricing, since Williams still discloses no PPA price.